

New data sources and a fresh economic calibration

The government **periodically** revises the base year for key economic indicators such as the consumer price index (CPI), the index of industrial production (IIP) and gross domestic product (GDP). These revisions are meant to **reflect** the changing profile of consumption and production in the country and **incorporate** newer data sources. **For instance**, in 2015, the Ministry of Statistics and Programme Implementation released the new series of national accounts, revising the base year from 2004-05 to 2011-12. Also in 2015, the base year for CPI was revised to 2012 from 2010. And in May 2017, **the base year** for the IIP **was** revised from 2004-05 to 2011-12. Continuing with this practice, the next year is **likely** to **witness** the release of new data series for several indicators.

In an interview to this paper, MoSPI secretary Saurabh Garg has said that the new GDP **series**, with 2022-23 as the base year, **is** scheduled to be released on February 27, 2026. The new IIP **series**, with 2022-23 as the likely base, **is** expected to be released from 2026-27 onwards, and **the CPI series**, with the base year of 2024, **are** likely to be released from the first quarter of 2026. This exercise is likely to involve the use of several new datasets. For instance, in the computation of the GDP estimates, the **use** of GST and UPI transaction data **is** being **explored**. Neither dataset was available the last **time around**.

Similarly, for the new CPI series, MoSPI is exploring new data sources such as online platforms for air and rail fare and price data from e-commerce websites. For CPI, the government has now decided to **draw on** the latest round of the Household Consumption Expenditure Survey of 2023-24 to **figure out** the items and the **weights**. Such regular **upgradation** of economic indicators using newer sources of information not only **helps** to improve their accuracy but also **aids** policymaking.

For instance, the current base **year** for CPI, which forms the basis of the RBI's inflation-targeting framework, **is** 2012. But the **household consumption basket** has changed dramatically over the years. For example, cereals **accounted for** 10.69 per cent of the consumption basket in rural areas in 2011-12. This had declined to 4.97 per cent by 2023-24. For urban areas, the comparable estimates are 6.61 per cent and 3.74 per cent. **Reweighting** the items of consumption based on the latest data **could** thus impact **headline inflation** and possibly have policy **implications**.

These base year revisions are, however, not without controversy. For instance, the **release** of the GDP 2011-12 series **was** followed by questions over whether it captured the **state** of the economy accurately. Questions were raised over the quality of some of the data as well as the **deflators** used. To avoid a repeat, the government should ensure that all the data **sources**, along with a detailed account of the **methodologies** used in the process, **are** publicly disclosed. This could help users understand the estimation process and **address** concerns.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **Calibration** (noun) – adjustment, fine-tuning, setting, standardization, alignment
समायोजन
2. **Periodically** (adverb) – occasionally, regularly, from time to time, intermittently, cyclically
समय-समय पर
3. **Reflect** (verb) – show, indicate, represent, demonstrate, mirror
दर्शना
4. **Incorporate** (verb) – include, integrate, merge, assimilate, combine
शामिल करना
5. **For instance** (phrase) – for example, such as, to illustrate, namely, like
उदाहरण के लिए
6. **Likely** (adjective) – probable, expected, possible, anticipated, foreseeable
संभावित
7. **Witness** (verb) – observe, see, experience, undergo, encounter
देखना / साक्षी होना
8. **Explore** (verb) – examine, investigate, look into, probe, research
तलाशना
9. **Time around** (phrasal verb) – this time, during this round, at this instance, in this phase
इस बार
10. **Draw on** (phrasal verb) – utilize, make use of, rely on, depend on, refer to
उपयोग करना
11. **Figure out** (phrasal verb) – understand, determine, solve, decode, interpret
समझना
12. **Weight** (noun) – value, importance, influence, proportion, contribution
भार / महत्त्व
13. **Aid** (verb) – help, support, assist, facilitate, promote
सहायता करना
14. **Household consumption basket** (noun) – a collection of goods and services that are commonly purchased and consumed by households.
15. **Account for** (phrasal verb) – represent, constitute, form, comprise, make up
हिस्सा होना
16. **Reweight** (verb) – adjust proportion, reallocate importance, change distribution, modify value
भार में बदलाव करना
17. **Headline inflation** (noun) – a measure of the total inflation within an economy, reflecting the overall increase in prices of goods and services.
18. **Implication** (noun) – consequence, effect, outcome, result, significance
परिणाम / निहितार्थ
19. **State** (noun) – condition, situation, status, shape, phase
स्थिति
20. **Deflator** (noun) – a figure that is used to change current prices or wages so that they can be compared to past prices or wages,

by removing the effect of inflation. मूल्य
सूचकांक (मुद्रास्फीति समायोजक)

22. **Address** (verb) – resolve, tackle, confront,
deal with, handle समाधान करना

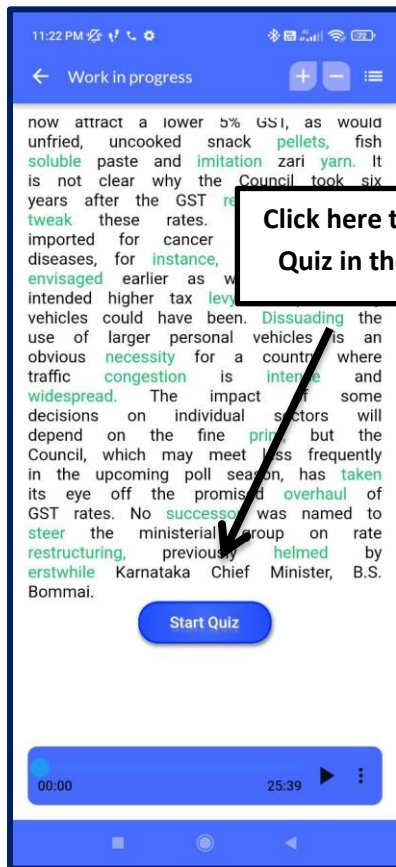
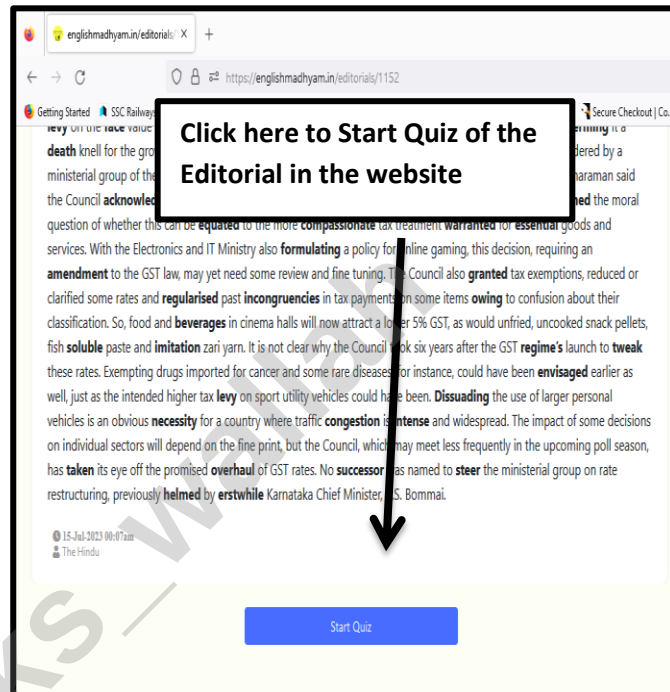
21. **Methodology** (noun) – approach, system,
process, technique, procedure कार्यविधि

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Summary of the Editorial

1. **Periodic Revisions** – The government periodically revises the base year for key economic indicators like GDP, CPI, and IIP to reflect current consumption and production trends.
2. **Past Revisions** – The GDP base year was changed from 2004-05 to 2011-12 in 2015; CPI was revised to 2012; IIP was updated to 2011-12 in 2017.
3. **Upcoming Changes** – New base year updates are expected soon for GDP, IIP, and CPI to better capture the evolving economic landscape.
4. **New Base Years** – The new GDP series with base year 2022-23 will be released on February 27, 2026.
5. **IIP & CPI Updates** – The new IIP base year (likely 2022-23) will be released in 2026-27, and CPI with base year 2024 is expected in Q1 of 2026.
6. **Modern Data Sources** – New GDP estimates may incorporate GST and UPI data, which were not previously available.
7. **Digital Price Data** – For CPI, online sources such as air/railfare platforms and e-commerce websites are being considered for price data.
8. **Household Survey Inclusion** – The 2023-24 Household Consumption Expenditure Survey will be used to assign new item weights in the CPI basket.
9. **Improved Accuracy** – Updating data sources improves the precision of economic indicators, thereby enhancing policymaking.
10. **Changing Consumption Patterns** – The consumption basket has significantly evolved, with a notable decline in cereal consumption over the years.
11. **Cereal Weight Example** – Rural cereal weight dropped from 10.69% (2011-12) to 4.97% (2023-24); urban from 6.61% to 3.74%.
12. **Policy Implications** – Reweighting based on new consumption patterns can affect measured inflation and influence monetary policy.
13. **Past Controversies** – The 2011-12 GDP series faced criticism over data quality and methodology, raising concerns about credibility.
14. **Transparency Demanded** – To avoid future controversies, the government must publish all data sources and detailed methodologies.
15. **Public Understanding** – Transparent disclosures will improve trust, allow better understanding of estimations, and reduce skepticism.

Practice Exercise: Banking Pattern Based

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